UNIVERSITY OF UYO
DEPARTMENT OF ECONOMICS

COURSE UNIT: 2 CREDIT HOURS
COURSE CODE: ECO 211
COURSE TITLE: INTRODUCTION TO MICROECONOMICS (2023/2024 session)

Introduction: The main objective of the course is to acquaint students with issues surrounding Microeconomics and establish the link between Microeconomics and other areas of Economic discipline. It should be noted that attendance at classes is not optional and students must meet the 75% benchmark attendance so as to qualify to write examination as stipulated by the University.

WEEK 1: INTRODUCTION TO MICROECONOMICS

(a) An overview of the definition of Economics
(b) Microeconomics and methodology of Economics
(c) Resource Scarcity and allocation of resources: The pervasive Economic problem
(d) Institutions of Microeconomics – the theoretical foundation of microeconomics; nature of market; etc.
(e) Importance of Microeconomics

WEEK 2 & 3: THEORY OF CONSUMER BEHAVIOR

- The theory of Utility and Consumer Preference
  a) Cardinal Utility – Assumptions
     - Equilibrium of the Consumer
     - Derivation of the Demand curve
     - Critique of the Cardinal Utility Theory

  b) Ordinal Utility Theory or Indifference Curve Approach – Assumptions
     - Properties of the Indifference Curve
     - The Budget Line
     - Changes in Income (Budget and Consumer's Equilibrium, PPC and ICC)
     - Relationship between Consumer Optimization and Price Elasticity
     - Income and Substitution effects of the Price Change

WEEK 4 & 5: DEMAND AND SUPPLY

(a) Demand – Assumptions of Static Analysis
   - The Demand Curve
   - Reason for the Downward Sloping Demand Curve
   - Individual and Market Demand Curve
   - Determinants of Demand and Demand Function
   - Movement along versus Shift in Demand Curves

(b) Supply

- Factors affecting or determinants of supply
- Supply Schedule and Supply Curve
- Changes in Demand, Supply and Equilibrium

(c) Concept of Elasticity

- Price, Income, Cross Elasticities of Demand
- Basic determinants of Elasticity of Demand
- Economic significant of Elasticity of Demand

WEEK 6 & 7: THEORY OF PRODUCTION

(a) Short run and Long run Production Period

- Fixed input
- Variable input

(b) Laws of Production – Short run and Long run

- The Production Function
- Total, Marginal and Average Input

(c) Production and Optimal Input Proportion

- Production Isoquant
- Types and Properties
- Input

(d) Output Maximization subject to a given Cost

(e) Cost Minimization subject to given Output

- Economic Region of Production
- Long run Laws of Production
- Constant, Increasing and Decreasing

WEEK 8 & 9: THEORY OF COST

- Short Run (SR) Cost Curve
- Total Cost (TC), Average Fixed (AFC), Average Variable Cost (AVC)
- Long Run (LR) Cost Curve
- Relationship between the Cost Curves and Product Curves

WEEK 10 & 11: MARKET STRUCTURES

- Output and Pricing under Market types
- Characteristics/Assumptions of each Market
- Supply Curve of a Firm and Equilibrium of a Firm
- Total Revenue (TR), Total Cost (TC) Approach
- Marginal Revenue (MR), Marginal Cost (MC) Approach
- Relationship between Elasticity and Marginal Revenue

WEEK 12: DISTRIBUTION AND THE PRICING OF FACTORS OF PRODUCTION

REVISION

HEADING LIST: Please check for the current versions of all the listed text below and many other relevant materials

1. Robert S. Pindyck and Daniel L. Rubi Field (2005), Microeconomics 6th Edition, New Jersey, Pearson Education International.

2. Robert H. Frank (2000). Microeconomics and Behavior 4th Edition, USA, McGraw-Hill Higher Education.

3. Koutsoyiannis A. (1979). Modern Microeconomics 2nd Edition, London, Macmillan Text Publisher Limited

4. Umo, J. U (2007). Economics: An African Perspective 2nd Edition, Lagos Millennium Text Publisher Limited.

5. Umo, J. U. (2003). Practical Microeconomic Analysis in African Context, Ibadan, Sibon Books Limited.

6. Ekanem, O. T. and M. A. Ihola (1999). Microeconomics Theory, Benin City, Mareh Publishers.